

Here is the financial ratio analysis for the years 2021 and 2020 based on the provided financial statements.

## Calculations Breakdown

### 1. Operating Margin

- **Formula:** Operating Margin = Net Income/Total Income
- **2021:** 395,000/850,000 approx 46.47%
- **2020:** 261,000/400,000 approx 65.25%

### 2. Asset Turnover

- **Formula (Ending Assets):** Asset Turnover = Total Income/{Ending Total Assets
  - **2021:** 850,000/708,000 approx 1.20
  - **2020:** 400,000/300,000 approx 1.33
- **Formula (Average Assets):** Asset Turnover = Total Income/Average Total Assets
  - **2021:** 850,000/(708,000 + 300,000) / 2 = 850,000/504,000 approx 1.69
  - **2020:** (not applicable since 2019 total assets are not provided)

### 3. Fund Raising Efficiency Ratio

- **Formula:** Fund Raising Efficiency Ratio = Cost of Fund Raising/Fund Raising Income
  - *Note: Fund Raising Income is taken from "Voluntary Income - donations" and Cost of Fund Raising is taken from "Cost of Generating Income - donations".*
- **2021:** 295,000/500,000 = 59.00%
- **2020:** 110,000/200,000 = 55.00%

### 4. Current Ratio

- **Formula:**  $\text{Current Ratio} = \text{Total Current Assets} / \text{Total Current Liabilities}$
- **2021:** 408,000/52,000 approx 7.85
- **2020:** 160,000/39,000 approx 4.10

## Financial Ratios Summary Table

| Financial Ratio                | Formula / Definition             | Year 2021 | Year 2020 |
|--------------------------------|----------------------------------|-----------|-----------|
| Operating Margin (%)           | Net Income/Total Income          | 46.47%    | 65.25%    |
| Asset Turnover (Ending Assets) | Total Income/Ending Total Assets | 1.20      | 1.33      |

|                                                  |                                                      |       |       |
|--------------------------------------------------|------------------------------------------------------|-------|-------|
| <b>Asset Turnover<br/>(Average Assets)</b>       | Total<br>Income/Average<br>Total Assets              | 1.69  | N/A   |
| <b>Fund Raising<br/>Efficiency Ratio<br/>(%)</b> | Cost of Fund<br>Raising/Fund<br>Raising Income       | 59.00 | 55.00 |
| <b>Current Ratio</b>                             | Total Current<br>Assets/Total<br>Current Liabilities | 7.85  | 4.10  |